

Republic of the Philippines
HOUSE OF REPRESENTATIVES
Quezon City

TWENTIETH CONGRESS
First Regular Session

House Bill No. **3688**



Introduced by the Hon. Ferdinand Alexander A. Marcos

**AN ACT PROMOTING THE DEVELOPMENT AND REGULATION
OF ARTIFICIAL INTELLIGENCE IN THE PHILIPPINES**

EXPLANATORY NOTE

The 1987 Philippine Constitution states that “Science and technology are essential for national development and progress. The State shall give priority to research and development, invention, innovation, and their utilization; and to science and technology education, training, and services xxx” (Art. XIV, Sec. 10). More to the point, our fundamental charter mandates that “The State shall regulate the transfer and promote the adaptation of technology from all sources for the national benefit” xxx (Art. XIV, Sec. 12)

With the advent of ChatGPT and other forms of artificial intelligence (AI), doing work, school and even religious activities have never been the same. AI has potential for tremendous benefits - it can process massive amounts of data in seconds, automate repetitive tasks and even generate strategic insights. However, its use is also subject to abuse, even incalculable harm, as we have seen in the dissemination of fake news, the phenomenon of deepfakes, etc. Thus, it behooves Congress to set the ground rules for this revolutionary technological development. It has been reported that Europe has come up with its own regulatory guidelines on the matter while the ASEAN is still trying to come up with its own roadmap.

In the 19th Congress, a number of measures on the subject of AI were filed by Representatives Barbers, Luistro, et al. The instant bill is a renewed attempt to provide for the regulatory framework or environment for artificial intelligence.

In view of the foregoing, the early approval of this bill is highly recommended.


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Be it enacted by the Senate and House of Representatives of the Philippines in Congress assembled:

SECTION 1. *Short Title.* – This Act shall be known as the "Artificial Intelligence Development and Regulation Act."

SEC. 2. *Declaration of Policy.* – It is hereby declared the policy of the State to promote the development of artificial intelligence in the Philippines, while ensuring that its development and deployment are aligned with national priorities, socially responsible, and respectful of human rights. The State recognizes the potential of artificial intelligence to contribute to economic growth, social welfare, and national security, and commits to promote its development in a way that is transparent, accountable, and responsive to the needs of the people.

SEC. 3. *Purpose.* – The purpose of this Act is to promote and regulate the deployment of artificial intelligence (AI) technologies in the Philippines to ensure that AI systems are developed, deployed, and used in a manner that is consistent with ethical principles, protects human rights and dignity, and serves the public interest. This Act aims to achieve the following objectives:

- (a) Promote the development of AI technologies through research and development, innovation, and entrepreneurship;
- (b) Protect the rights and welfare of individuals and communities affected by AI technologies;
- (c) Ensure that AI technologies are developed, deployed, and used in a manner that is transparent, accountable, and fair;
- (d) Develop the necessary infrastructure and human capital to support the development and deployment of AI technologies in the Philippines; and

- (e) Foster international cooperation and collaboration in the development and use of AI technologies.

SEC. 4. Definitions. – For the purposes of this Act:

- (a) *Artificial Intelligence (AI)* refers to ability of machines or computer programs, systems or software that are designed to perform tasks that simulate human intelligence, such as reasoning, learning, perception, and problem-solving.
- (b) *AI system* refers to a computer system or software application that utilizes AI technologies and techniques to perform a task or make a decision, such as machine learning, deep learning, natural language processing, and robotics.
- (c) *AI developer* refers to any person, entity, or organization that develops AI technologies including software and hardware. The development of AI technologies includes, among others, the design, development, testing, or deployment of AI systems.
- (d) *AI user* refers to any person, entity, or organization that utilizes or benefits from AI systems, including but not limited to government agencies, private companies, and individuals.
- (e) *AI regulator* refers to any government agency or regulatory body that is responsible for overseeing the development and deployment of AI systems.
- (f) *Access* refers to the instruction, communication with, storing data in, retrieving data from, or otherwise making use of any resources of a computer system or communication network.
- (g) *Alteration* refers to the modification or change, in form or substance, of an existing computer data or program.
- (h) *Computer* refers to an electronic, magnetic, optical, electrochemical, or other data processing or communications device, or grouping of such devices, capable of performing logical, arithmetic, routing or storage functions, and which includes any storage facility or equipment, or communications facility or equipment directly related to or operating in conjunction with such device. It covers any type of computer device, including devices with data processing capabilities like mobile phones, smart phones, computer networks and other devices connected to the internet.
- (i) *Computer program* or *Application* refers to a set of instructions executed by the computer to achieve intended results.
- (j) *Computer system* refers to any device or group of interconnected or related devices, one or more of which, pursuant to a program, performs automated processing of data. It covers any type of device with data processing capabilities, including, but not limited to, computers and mobile phones. The device consisting of hardware and software may include input, output and storage components, which may stand alone or be connected to a network or other similar devices. It also includes computer data storage devices or media.
- (k) *Critical infrastructure* refers to the computer systems, and/or networks, whether physical or virtual, and/or the computer programs, computer data and/or traffic data that are so vital to this country that the incapacity or destruction of or interference with such

system and assets would have a debilitating impact on security, national or economic security, national public health and safety, or any combination of those matters.

- (l) *Cybersecurity* refers to the collection of tools, policies, risk management approaches, actions, training, best practices, assurance and technologies that can be used to protect the cyber environment, and organization and user's assets.
- (m) *Transparency* means the quality or state of being open, accountable, and easily understood.

SEC. 5. Establishment of AI Development Authority (AIDA). – An artificial intelligence body to be known as Artificial Intelligence Development Authority (AIDA) is hereby created and established to oversee the development and deployment of AI technologies, ensuring compliance with AI ethics principles and guidelines, and protecting the rights and welfare of individuals and communities affected by AI technologies.

Composition. The Artificial Intelligence Development Authority (AIDA), under the administrative supervision of the Office of the President, shall be governed by a Board of Trustees composed of the following members, in an *ex-officio* capacity:

1. Executive Director of the Department of Science and Technology – Information and Communications Technology Office (DOST-ICTO) as Chairman
2. Head of the ICT Industry Development Bureau of the Department of Information and Communications Technology (DICT-IIDB) as Vice-Chairman
3. Head of the National Computer Center
4. Head or duly-designated representative of the following offices,
 - (a). National Privacy Commission (NPC)
 - (b). Department of Justice – Office of Cybercrime (DOJ-OC)
 - (c). National Intelligence Coordinating Agency (NICA)
 - (d). Armed Forces of the Philippine (AFP) Cyber Command
 - (e). Philippine National Police AntiCybercrime Group (PNP-ACG)
 - (f). National Telecommunications Commission (NTC)
 - (g). Securities and Exchange Commission (SEC)
 - (h). National Privacy Commission (NPC), and
 - (i). One (1) representative from the private sector who should be expert in the fields of information technology specializing artificial intelligence, law, ethics, social science, and other relevant disciplines, and, further,
 - (j). One (1) representative from the academe who should be expert in the fields of information technology specializing artificial intelligence, law, ethics, social science, and other relevant disciplines.

Meetings of the Board. The Board of Trustees of the Artificial Intelligence Development Authority (AIDA) shall meet once a week or as often as necessary at the discretion of the Chairman or at the call of any three (3) other members. The presence of majority of the permanent members and of the ex-officio members shall constitute a quorum.

SEC. 6. *Secretariat.* – The AIDA Secretariat serves as the implementing arm of the Board and shall be responsible for the efficient and effective enforcement of all the provisions of this Act. It shall be headed by the Executive Director and two (2) Deputy Executive Directors. The Board shall recommend to the President of the Philippines the appointment of an Executive Director who shall be the Secretary of the Board and at the same time the executive officer having direct control and supervision of the AIDA. He/she must possess adequate knowledge, training, and experience for at least seven (7) years in the field of information technology and recently on artificial intelligence.

Two Deputy Executive Directors for administration and for operations shall also be appointed by the President upon recommendation of the Board. They shall possess the same qualifications as those of the Executive Director. They shall receive a salary corresponding to their position as prescribed by the Salary Standardization Law as a Career Service Officer.

SEC. 7. *Regulation of AI Development and Deployment.* The AIDA shall have the general mandate and power to oversee the development and deployment of AI technologies, ensure compliance with AI ethics principles and guidelines, and protect the rights and welfare of individuals and communities affected by AI technologies. Specifically, it shall be responsible for:

- (a) Developing a national AI development and regulation strategy that aligns with national priorities and international standards including but not limited to requirements for AI impact assessments, data protection, and transparency in AI decision-making.
- (b) Conducting research and development activities to promote the advancement of AI technology in the Philippines.
- (c) Providing guidance and support to AI developers and users on ethical and responsible development and deployment of AI technologies in the Philippines.
- (a) Establishing standards and guidelines for legal, ethical and responsible AI development, use and deployment, and enforcing them by conducting investigations and penalizing violations of said AI ethics principles, standards, and guidelines.
- (d) Establishing licensing and certification requirements for AI developers and deployers so that they shall be required to register with AIDA and comply with its regulations and guidelines. Failure to register or comply with the regulations and guidelines of the Council shall be considered a violation of this Act and subject to applicable administrative penalties and sanctions.
- (e) Ensuring that personal data collected, used, and processed by AI systems are protected in accordance with Republic Act 10173 otherwise known as the Data Privacy Act of 2012 and other relevant laws and regulations.
- (f) Developing data security and cybersecurity standards for AI systems to protect against cyber-attacks and hacking.
- (g) Establishing a mechanism for reporting and addressing complaints and grievances related to the deployment of AI systems in the Philippines.

- (h) Monitoring and evaluating the development and deployment of AI systems in the Philippines and, except when national security and interest is involved, it shall regularly report to the public on the state of AI development and its impact on society.

SEC. 8. *Promotion of AI Development.* – The AIDA shall establish programs and initiatives that promote AI research and development, innovation, and entrepreneurship, with a focus on developing AI technologies that address the country's most pressing social and economic challenges. It shall promote the development of AI in the country through employment of any or combination of the following measures:

- (a) Providing funding and support for AI research and development activities.
- (b) Encouraging partnerships between academic institutions, private companies, and government agencies to promote AI development.
- (c) Promoting the adoption of AI in government agencies and private companies to improve efficiency and productivity.
- (d) Providing incentives for AI developers and users who adhere to ethical and responsible AI development and deployment practices.
- (e) Promoting the development of AI talent and skills in the Philippines through education and training programs.

SEC. 9. *International Cooperation and Collaboration.* – The AIDA shall undertake international cooperation and collaboration in the development and use of AI technologies, including through partnerships with other countries, international organizations, and the private sector. It shall participate in international efforts to develop global norms and standards for the development and use of AI technologies and shall work to ensure that these norms and standards are consistent with Philippine laws, regulations, and values.

SEC. 10. *Appropriations.* The government shall allocate funds for the implementation of this Act, including the establishment and operation of the AI regulatory authority or commission and the promotion of AI research and development.

SEC. 11. *Penal Provisions.* – Any person or entity that violates the provisions of this Act, including the AI ethics principles and guidelines, shall be penalized in accordance with the penalties provided for under existing laws and regulations.

SEC. 12. *Implementing Rules and Regulations.* – The AI regulatory authority shall promulgate the necessary rules and regulations for the implementation of this Act, in consultation with relevant stakeholders.

SEC. 13. *Separability Clause.* – If any provision of this Act is declared unconstitutional or invalid, the other provisions not affected thereby shall remain in full force and effect.

SEC. 14. *Repealing Clause.* – All laws, decrees, orders, rules and regulations, or parts thereof, which are inconsistent with the provisions of this Act, are hereby repealed, amended, or modified accordingly.

SEC. 15. *Effectivity.* – This Act shall take effect fifteen (15) days after the completion of its publication in the Official Gazette or in a newspaper of general circulation.

Approved,